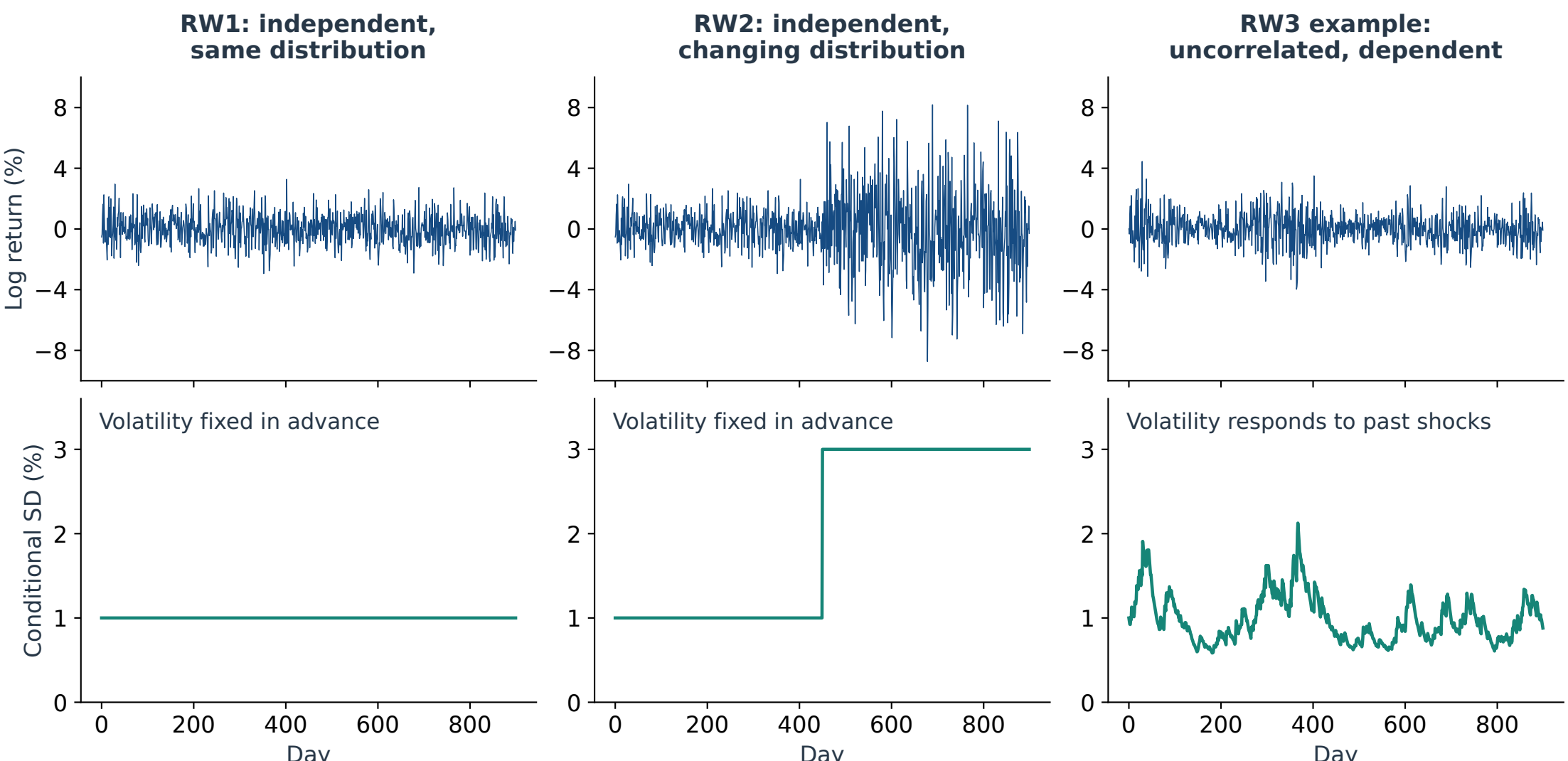
RW1: independent, same distribution
RW2: independent, changing distribution
RW3 example: uncorrelated, dependent
Log return (%)
8
4
0
−4
−8
Conditional SD (%)
Volatility fixed in advance
Volatility fixed in advance
Volatility responds to past shocks
3
2
1
0
0
200
400
600
800
Day